

complaint

Mr and Mrs S complain about the decision made by UK Insurance Limited (“UKI”) to refuse their subsidence claim under their home insurance policy. They’re also unhappy that UKI didn’t renew their insurance policy in 2012, so they had to take out insurance elsewhere and couldn’t get cover for subsidence.

background

I issued my provisional decision on this complaint on 9 July 2015, a copy of which is attached and forms part of this final decision. In that decision, I explained why I intended to uphold the complaint.

Mr and Mrs S had made a claim for subsidence. UKI thought that some external cracks had been caused by minor subsidence, but thought the rest of the damage was caused by consolidation of material under the floor slabs, which was excluded. UKI then decided not to renew Mr and Mrs S’ cover, and they were unable to obtain subsidence cover elsewhere.

I thought the evidence supported there may be subsidence, and I said the parties should jointly appoint an expert to decide what further investigations were needed in order to establish this. If there was found to be subsidence, I said UKI should reimburse Mr and Mrs S the professional fees they had paid.

I didn’t think UKI should have chosen not to renew Mr and Mrs S’ cover, when there was some evidence of subsidence. I said that UKI should offer to reinstate Mr and Mrs S’ buildings cover, as well as work out the difference in cost between the original policy and the new policy Mr and Mrs S had to take out elsewhere and pay them the difference (if the cost of the new policy was higher). Finally, I said UKI should pay £1,500 compensation for its handling of the claim.

I invited both parties to provide me with any further comments they wished to make.

UKI responded and made the following points:

- It agrees with my proposal that an expert should be appointed and that if subsidence is found to have occurred, it will reimburse the professional fees that Mr and Mrs S paid.
- It still has concerns over this service’s interpretation of the floor slab exclusion upon which it relied, but it will wait for the outcome of the independent report.
- It agrees to pay £1,500 compensation.
- It says it can’t reinstate a previous policy, but will provide a new quote if required.

Mr and Mrs S responded and said they wanted to provide a list of three suitably qualified experts and for UKI to choose one, rather than the other way round.

my findings

I’ve considered all the available evidence and arguments to decide what’s fair and reasonable in the circumstances of this complaint.

I understand Mr and Mrs S have concerns about the impartiality of an expert chosen by UKI. Rather than tell UKI to appoint an expert, I thought UKI should choose three suitably

qualified experts and Mr and Mrs S can then select the one they want. Those experts should all be independent and not work for UKI. I think this will ensure that the chosen expert will be impartial.

I've noted UKI's comments that it can't reinstate a previous policy. I don't think it matters if a new policy is set up. But so long as Mr and Mrs S want buildings insurance cover again with UKI, the new policy should be set up with the same cover that was previously held by Mr and Mrs S, and at the same cost as that previous policy would be now if it had stayed in force.

UKI says it still has concerns with this service's interpretation of the floor slab exclusion. In my provisional decision, I pointed out that UKI had provided this service with two sets of policy terms and the floor slab exclusion wasn't the same in those policies. UKI didn't provide a copy of the correct policy document in response to my provisional decision, despite my request that it do so. When the expert is appointed, the correct policy terms that applied at the time Mr and Mrs S' claim was made should be provided to him/her.

my final decision

My final decision is to uphold the complaint. I require UK Insurance Limited to do the following:

- jointly appoint (with UK Insurance Limited covering the cost) an appropriate expert to examine the evidence and decide what further investigations are needed. Once those investigations are completed, the expert should give an opinion on whether there is a valid claim for subsidence (taking into account the policy terms that applied at the time of the claim). If there is, then he/she should complete a schedule of repair works for UK Insurance Limited to carry out. UK Insurance Limited should provide Mr and Mrs S with a list of three independent suitably qualified experts so that they can choose one. I would expect both parties to abide by the expert's findings;
- if there is found to be a valid subsidence claim, it should reimburse Mr and Mrs S for the professional fees they have paid;
- pay Mr and Mrs S total compensation of £1,500 for its handling of the claim and decision not to renew their buildings insurance cover;
- calculate the cost of continuing to provide Mr and Mrs S with buildings insurance cover from 2012 and, if this would have been lower than the premiums Mr and Mrs S have paid for their new policy (as well as their separate cover for drains), it should refund the difference. It should then add interest to this at the rate of 8% simple per annum (less tax if properly deductible) from the date the premiums were paid to the date of settlement; and
- offer Mr and Mrs S the option of having a new buildings insurance policy as I have set out above.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs S to accept or reject my decision before 14 September 2015.

Chantelle Hurn
ombudsman

COPY OF PROVISIONAL DECISION

complaint

Mr and Mrs S complain about the decision made by UK Insurance Limited ("UKI") to refuse their subsidence claim under their home insurance policy. They're also unhappy that UKI didn't renew their insurance policy in 2012, so they had to take out insurance elsewhere and couldn't get cover for subsidence.

background

The background to this case is well known to the parties, so I won't go into much detail here.

Briefly, Mr and Mrs S made a subsidence claim in February 2011 as they had noticed cracks in the internal and external walls of their house. UKI arranged for its loss adjuster ("Z") to visit the property. Z accepted the external cracks had been caused by subsidence. It thought this had been caused by some drainage problems and carried out repairs to the drains.

But Z didn't think the internal damage was covered under the policy. It thought this damage was caused by consolidation of the material below the floor slabs, which it says is excluded under the policy.

When Mr and Mrs S' policy was due for renewal in 2012, UKI decided not to continue to offer them buildings insurance cover. Mr and Mrs S had to find alternative cover with another insurer. But because of their ongoing subsidence claim, they couldn't get subsidence cover.

Unhappy with UKI's handling of the claim and its decision not to continue to offer cover, Mr and Mrs S brought a complaint to this service. They obtained further evidence to support their claim.

Our adjudicator upheld the complaint. She thought UKI should reconsider the subsidence claim and an expert should be appointed to decide what investigations and monitoring would be required. She said the expert should decide if the claim would fall under the relevant policy exclusion for the floor slabs. As Mr and Mrs S had paid for two independent reports, she thought UKI should reimburse them for the cost of these. She also thought UKI should pay £750 compensation for the distress and inconvenience caused by its handling of the claim.

The adjudicator also thought UKI shouldn't have chosen not to renew the cover. She recommended it offer a backdated subsidence only policy from 2012 to 2015, and refund the difference between this and the policy Mr and Mrs S had to take out with another insurer, up to their renewal date in August 2015. She thought that at this time, UKI should offer Mr and Mrs S full cover as if they had remained existing customers, but if Mr and Mrs S didn't want this, then UKI wouldn't need to continue providing subsidence only cover. She also thought UKI should pay a further £100 compensation (in addition to the £750 already recommended), for the inconvenience its actions had caused to Mr and Mrs S.

UKI accepted some of the adjudicator's recommendations, but not all of them. The matter has therefore been passed to me to look into.

my provisional findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

claim

After initially finding there was no evidence of subsidence, Z later agreed to carry out some investigations. It arranged for a CCTV survey of the drainage system and bore a trial hole. Z then concluded that the cause of the internal damage was consolidation of the fill material below the

ground floor slabs. It said there was evidence of minor subsidence damage to the external brickwork because of defective drains, but the cost of the repairs would fall below the policy excess of £1,000 for a subsidence claim. UKI said it would cover the repairs to the defective drains under the accidental damage section of the policy.

Mr and Mrs S arranged for their own structural engineer ("Y") to examine the damage. Y noted there was some minor cracking to the exterior of the property, and that the rear patio area had subsided slightly. It said the upper ground floor level had numerous cracks in the internal walls and were both vertical and horizontal. Y noted that Z had carried out a drainage survey but said that it had only picked up the foul water pipes and not the rainwater pipes. It thought it was imperative that the rainwater pipes be located and checked for cracks. Y also noted that a trial hole was taken out by Z and it revealed a concrete slab bearing onto gravel with clay below – it said the clay didn't appear to be desiccated (shrunken). Y didn't think settlement had occurred, and thought the movement and associated cracking of the property was caused by subsidence, but said the cause of this was unknown and further monitoring should be done.

Z carried out testing of the rainwater pipes but didn't find any defects. But I understand a CCTV survey was carried out by Mr and Mrs S' neighbours and it was found that roots had caused damage to the pipes. Z thought this was too remote to be causing the damage to the property.

In 2013, Mr and Mrs S commissioned a firm of engineers ("P") to assess the damage to their property. P had provided structural assistance to Mr and Mrs S' neighbours previously, as that property had suffered from subsidence that was caused by clay shrinkage aggravated by nearby vegetation. P thought Mr and Mrs S' house had suffered from rotational subsidence of its foundation, possibly from shrinkage of the underlying clay. It said that none of the cracking and indications of movement suggested settlement of the floor slab as the cause. P thought there was obvious evidence of significant subsidence movement. It said it agreed with Y's opinion that further monitoring was needed. It thought the extent of the investigations carried out by Z on behalf of UKI had been insufficient to establish the cause of the damage.

UKI considered the evidence provided by Y and P and said that as Mr and Mrs S still thought there had been subsidence, it would be willing to instruct an independent engineer (it gave Mr and Mrs S a choice of three) to inspect their property and examine all the evidence and to report his/her findings, with the engineer's opinion being binding on both parties. But Mr and Mrs S were concerned about the impartiality of an engineer chosen by UKI, so they refused this.

Overall, I think there may well be a valid claim here for subsidence. I understand the cracks and damage both inside and outside the property have become noticeably worse since Mr and Mrs S first reported their claim in 2011. It seems unlikely that this worsening damage would be caused by compaction of material under the floor slabs, particularly given that the house was built nearly 40 years ago. It's also of interest that the houses on either side of Mr and Mrs S' have both suffered from subsidence. But if there is subsidence, we don't yet know the cause of this. I think there is enough evidence to support that further investigations should be carried out.

So I agree with the adjudicator that an expert should be jointly appointed to decide what investigations would be needed. Once those investigations have been done, that expert can give an opinion on whether or not there is a valid claim for subsidence. If there is, then he/she can arrange a schedule of repair works for UKI's contractors.

policy documents

I note that UKI has provided this service with two different policy documents. The first one is dated April 2009 and the relevant exclusion in this document says:

"loss of or damage to, solid floor slabs, or loss or damage that results from floor slabs moving, unless the foundations beneath the external walls of your home are damaged at the same time by the same cause."

But in a second policy document dated June 2012, the exclusion says:

“loss of or damage to solid floor slabs as a result of their moving unless the foundations beneath the load bearing walls of your home are damaged at the same time and by the same cause.”

So the policy from 2009 excludes damage to floor slabs and loss or damage that *results* from floor slabs moving. But the 2012 policy only excludes damage to floor slabs.

Mr and Mrs S made their claim in February 2011, and I don't have the relevant policy document for this year. UKI should provide it in response to this decision. I say this because if the wording in the policy for the relevant year is the same as that contained in the June 2012 policy, then it would seem that even if the damage hasn't been caused by subsidence and instead has been caused by compaction of fill material as UKI believes, then the only damage UKI *wouldn't* be liable to pay for would be any damage to the floor slabs themselves. This is because Mr and Mrs S had accidental damage cover under their policy, so I think any other damage to their home would be covered.

handling of claim

Whilst I appreciate subsidence claims can take a long time to deal with, I don't think UKI handled this claim well. Z, on UKI's behalf, didn't assess the damage properly in the first place, investigations were delayed unnecessarily (as were repairs to the cracked drain). Also some of Mr and Mrs S' letters weren't answered, and it seems to me as though Mr and Mrs S have had to continually chase UKI for answers throughout this whole claim. I think this would have caused Mr and Mrs S a great deal of inconvenience. I note the adjudicator thought UKI should pay Mr and Mrs S £750 compensation, but I intend to increase this to £1,300.

fees

Mr and Mrs S arranged for two companies to assess the damage to their property and provide reports. The adjudicator thought UKI should reimburse Mr and Mrs S for the fees they paid for this. But I think this would only be necessary if it later transpires that they do have a valid subsidence claim.

UKI's decision not to renew buildings insurance

UKI says that it chose not to renew Mr and Mrs S' cover in 2012 because they had three losses in three years.

UKI will be aware that when a subsidence claim has been made, this service would expect an insurer to continue to offer buildings insurance cover. This is because of the difficulties policyholders experience when they try and obtain cover elsewhere after a subsidence claim has been made.

Although UKI didn't actually pay out for a subsidence claim, it accepts there was subsidence to the exterior of the property. Mr and Mrs S have had to disclose this and consequently, have been unable to obtain subsidence cover. I understand they have only been able to take out buildings insurance cover without subsidence (and excluding damage to drains), and have had to pay a high premium for this. They also had to take out separate cover for their drains.

I agree with the adjudicator that in the circumstances, UKI shouldn't have chosen not to renew the cover. The adjudicator recommended UKI offer a backdated subsidence only policy from 2012 until 2015. She said it should refund the difference between the policy Mr and Mrs S had to take out with another insurer, and the premium they would have paid if UKI had continued to offer them cover. But UKI says it doesn't offer subsidence only policies.

Since Mr and Mrs S have had an ongoing issue that they think has been caused by subsidence since 2011 (and that UKI would be responsible for this claim if it does transpire to be subsidence), I don't think it would be appropriate to require UKI to provide a backdated standalone subsidence policy.

To place Mr and Mrs S back in the position they would have been in (as far as possible), I think UKI should calculate how much it would have charged Mr and Mrs S for their buildings insurance cover, if it *had* continued to renew it from 2012 onwards. If Mr and Mrs S' new policy (and the separate cover they had to take out for damage to drains) was more expensive than this, then UKI should refund the difference plus interest.

I also think UKI should offer Mr and Mrs S the option of having their previous policy reinstated.

I agree with the adjudicator that UKI's decision not to renew Mr and Mrs S' insurance when they had an ongoing claim related to subsidence would have caused them distress and inconvenience. I think £200 compensation would be appropriate here.

further issues

I understand there was some damage caused to Mr and Mrs S' property when Z carried out its investigations. UKI told Mr and Mrs S that it would cover the cost of repairing this damage if they sent it estimates. I note Mr and Mrs S chose not to do so, as there are cracks that they think should be repaired first. As UKI has already confirmed it will cover the cost of repairing this damage, it is up to Mr and Mrs S whether they want this work done now or if they want to wait until the expert's findings regarding their subsidence claim.

Mr and Mrs S are concerned that UKI has already accepted there has been some external subsidence damage, but hasn't repaired this. But as I understand it, UKI thought the cost of repairing this damage would be less than the £1,000 subsidence excess that Mr and Mrs S would need to pay if they wanted this damage repaired, which is why UKI didn't carry out the repairs. This seems reasonable to me.

my provisional decision

For the reasons set out above, my provisional decision is that I'm minded to require UK Insurance Limited to do the following:

- jointly appoint (with UK Insurance Limited covering the cost) an appropriate expert to examine the evidence and decide what further investigations are needed. Once those investigations are completed, the expert should give an opinion on whether there is a valid claim for subsidence (taking into account the policy terms). If there is, then he/she should complete a schedule of repair works for UK Insurance Limited to carry out. UK Insurance Limited should provide Mr and Mrs S with a list of three suitably qualified experts so that they can choose one. I would expect both parties to abide by the expert's findings;
- if there is found to be a valid subsidence claim, it should reimburse Mr and Mrs S for the professional fees they have paid;
- pay Mr and Mrs S total compensation of £1,500 for its handling of the claim and decision not to renew their buildings insurance cover;
- calculate the cost of continuing to provide Mr and Mrs S with buildings insurance cover from 2012 and, if this would have been lower than the premiums Mr and Mrs S have paid for their new policy (as well as their separate cover for drains), it should refund the difference. It should then add interest to this at the rate of 8% simple per annum (less tax if properly deductible) from the date the premiums were paid to the date of settlement; and

- offer Mr and Mrs S the option of having their buildings insurance policy reinstated.

Chantelle Hurn
ombudsman